

VSEUS

Economics Gazette

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Hello Econ Students!

Welcome to this week's edition of the **VSEUS Economics Gazette**. This weekly newsletter is designed for educational purposes, offering reflections and commentary on recent articles to help students understand how today's headlines connect to economics and finance in practice. We aim to foster critical thinking and awareness of the forces shaping our world.

[This newsletter does not constitute financial advice or recommendations to buy, sell or hold investments.](#)

Macro Overview:

This week, metals experienced a sharp downturn as escalating disruptions in the Middle East drove a sudden spike in global inflation expectations. When inflation forecasts jump, markets quickly price in the likelihood that central banks will be forced to maintain or hike benchmark interest rates. As bond yields spike in response, the opportunity cost of holding non-yielding assets surges. While precious metals like gold and silver remain traditional safe havens, they rely entirely on capital appreciation. In this week's rising rate environment, we saw investors quickly rotate capital away from metals and toward fixed-income assets to lock in predictable cash flow yields.

Market Performance:

	Current weekly performance	Past week performance
S&P 500	-2.76 %	-0.54 %
TSX	-4.15 %	-0.65 %
	Ending Yield this week	Past weekly Ending Yield
U.S. 10 Year Treasury Yield	4.386%	4.283 %



by **Goli Eshtiaghi**
Research Analyst

“Given the right lever, you can move a planet”, What Happens at the Canadian Federation of Independent Business?

Overview

Amidst global economic uncertainty, Canadian business owners face unprecedented and challenging circumstances. This past week I had the pleasure of interviewing Marvin Cruz, senior director of research at the Canadian Federation of Independent Business (CFIB) to learn more about the largest non-profit in Canada that supports small businesses. Marvin started his work at CFIB over two decades ago as an intern while he completed his degree in economics at the University of Toronto. He has since taken on different roles within the organization and worked towards producing reliable surveys and research that navigates the Canadian economic landscape with small businesses as the central motive. Marvin and I discussed everything from CFIB's role and priorities as an organization to the wise words of Frank Herbert in Dune. You can learn more about the non-profit [here](#).

Muted Entrepreneurial Climate: Monthly Business Closures Exceed Openings

Source: Statistics Canada, Table 33-10-0270-01, Authors' Visualizations



CFIB: A Champion Grounded in Research

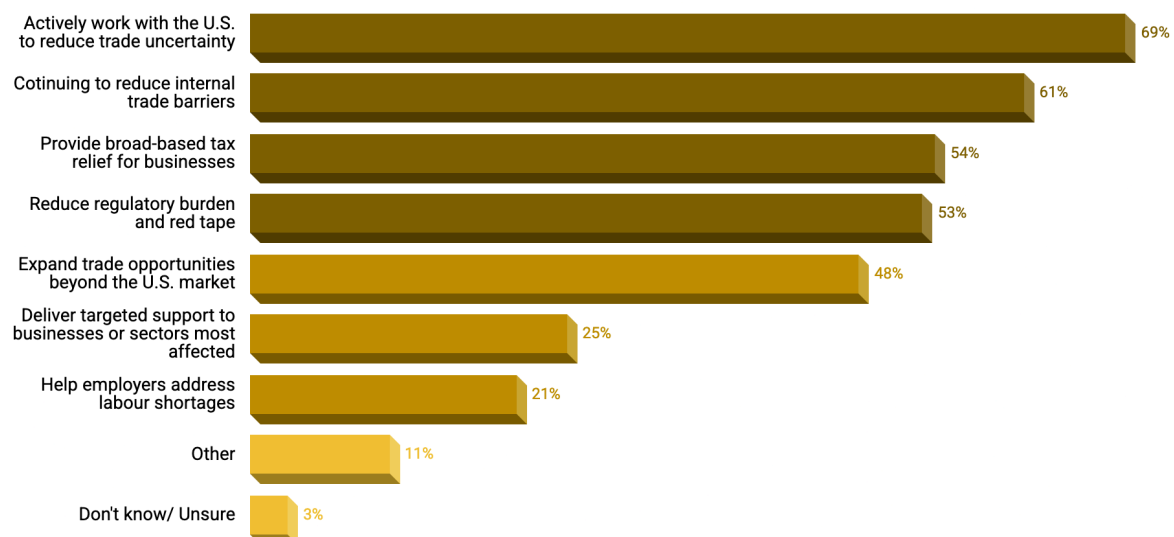
CFIB provides business insights and resources to its membership and undertakes large **survey and research projects to push for policies that are directly aligned with business owners' needs across Canada**. With spokespersons located across the entire country, CFIB has a unique insight into the challenges that impact Canadian entrepreneurs.

When discussing how CFIB decides on its policy recommendations, Marvin stressed the **importance of the data collection process and designing surveys that adequately capture the support and solutions that entrepreneurs value**; while also ensuring that the questions are not leading or biased. Having spent a lot of time perfecting the craft of surveys, he emphasized practicing the utmost responsibility to make sure that all policy recommendations are grounded in verifiable data.

His team is not only meticulous in designing the right kind of surveys on a range of domestic and international issues, but also ensuring **the results are interpreted by knowledgeable eyes and within the context in which they have been presented**. There tends to be vast differences in how entrepreneurs from around the country view certain issues and it is crucial that all these views are understood and considered before putting a policy forward. Marvin noted that not only does he go the extra mile to make sure that their policy recommendations are credible, but he also keeps in mind that the outcomes can affect a large range of stakeholders and communities, so being diligent is a non-negotiable.

Question: What is the best way the federal government could help your business manage the impact of tariffs?

Source: CFIB "Your Voice" Survey, December 2025, CFIB InsightBiz Blog, Authors' Visualization



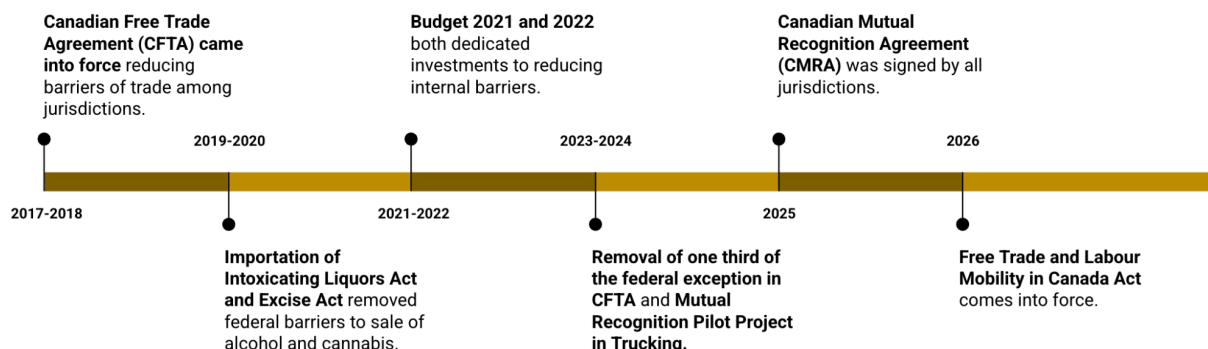
An example of this data collection process is the bi-monthly *Your Voice* survey which aims to get an understanding of how business owners are responding to recent developments and which policies can best support their success. Looking back at the [December results](#), Marvin noted that **while business owners show resilience, entrepreneurial spirit has certainly dampened, with business exits exceeding entries for four consecutive quarters**. Unsurprisingly, a big factor contributing to a harsher entrepreneurial climate is tariffs and global trade. What is interesting about the figure above, and many other questions throughout these surveys, is how they capture the gap between federal policies that exist and what entrepreneurs truly need. For instance, despite efforts by the federal government to expand trade relationships outside of the U.S. market, many business owners continue to prefer working with the U.S. and reducing tariffs. From an economic perspective, this is understandable. **Adjusting supply chains and expanding into new markets can be a pricey and time-consuming process that many small businesses simply cannot afford.**

Another example is strong support for broad-based tax relief for businesses. Marvin observed that **very few businesses made use of the Regional Tariff Response Initiative (RTRI)**, a targeted program that would invest \$1 billion dollars over the next 3 years to support Small and Medium-sized Enterprises (SMEs). He found that many businesses either **did not know the program existed or did not meet eligibility requirements, which rendered the federal initiative less effective**. As a result, CFIB has recommended reduction in small business tax rate or employment insurance which will transmit to independent businesses more effectively.

Better Policies Abroad and at Home

Timeline of Federal Actions to Enhance Internal Trade

Source: Government of Canada, Authors' Visualization



Beyond external pressures and costs, many Canadian businesses face regulatory burden and red tape domestically. CFIB has been collecting data and reporting on red tape and regulatory costs since 2005, and was one of the first organizations to assess internal trade barriers within Canada and stress the **importance of mutual recognition**. As an advocate, Marvin welcomed progress such as the Canadian Mutual Recognition Agreement (CMRA) negotiated and signed in 2025, but noted that it was unfortunate that damaging tariffs were required to catalyze this move. **CMRA allows businesses to sell their goods across the nation without having to comply with duplicate regulations in different jurisdictions, significantly reducing costs and barriers.**

Educational Angle: What is Red Tape?

Coase's worst nightmare, red tape is essentially **unnecessary rules and regulations that impede on business transactions, investment, labour mobility or trade**. These are rules that go beyond what is needed and burden businesses with significant costs and delays. In one of his [Canada's Red Tape Reports](#), Marvin and his colleague estimated that **about 35% of the \$51.5 billion spent on regulatory expenses was red tape, that is \$18 billion dollars allocated to unproductive and unnecessary activities**. While developments such as Mutual Recognition can help reduce these costs, a more productive Canada must work towards eliminating red tape even further.

Entrepreneurial Spirit: Dampened but Alive

Heightened uncertainty has impacted countless business owners in Canada. Marvin noted that **fewer entrepreneurs view and recommend independent business as a viable option** given the difficulties they have had to endure in the past year. Unpredictability has hindered their ability to invest further into their business and employees. This has especially been a factor when it comes to implementing new technologies. When asked about AI adoption and Canada's seemingly sluggish pace in keeping up with the new trend, Marvin responded that **many businesses simply do not have the resources or the reassurance to invest in AI, even given the potential productivity gains**. The right incentives are more crucial than ever to guarantee further investment. Which is why regulations play such an important role not only in guaranteeing the survival of small business owners, but also maintaining Canada's competitiveness and economic prosperity.

As economists, we make a lot of assumptions about the circumstances in which small businesses make their decisions. In the simplest models, we assume transaction costs are negligible, competition is perfect and agents have all the information they need to act. The reality, unsurprisingly, is quite far removed. Organizations such as CFIB get a glimpse into what this reality is and how we can continue to witness a prosperous entrepreneurial climate that enriches the Canadian economy.

Marvin's passion for his work goes far beyond the material gains from small businesses. He places a lot of value on the services and training that independent businesses provide to their communities, and the resilience with which they carry on in face of challenges. *He noted that despite tough times, the right set of regulations and initiatives can accomplish a great deal when it comes to maintaining small businesses alive and thriving, or in Dune terms, "given the right lever, you can move a planet."*

Articles:

1. ALEGBEH, Alchad, CRUZ, Marvin, Digital transformation: How small businesses in Canada are leveraging AI and technology for growth and productivity. Canadian Federation of Independent Business (CFIB), September 2025. This publication is also available at cfib.ca/research.
2. Marvin Cruz and Bérengère Fouqueray, "A Divided Year: Small Business Performance in 2025 Under the U.S.-Canada Trade War", CFIB, InsightBiz blog, March 4, 2026, <https://www.cfib-fcei.ca/en/research-economic-analysis/a-divided-year-small-business-performance-under-the-2025-us-canada-trade-war>.